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What's News

Business & Finance

◆ **Trump is expected** to nominate Kevin Warsh, a central bank insider turned critic, as chairman of the Federal Reserve. **A1**

◆ **Amazon is in talks** to invest up to \$50 billion in OpenAI as part of a fresh funding round as the ChatGPT maker accelerates plans to go public and faces intensifying competition from Anthropic. **A1**

◆ **Anthropic clashed** with the Pentagon over the terms of how the company's technology can be used under a contract signed between them last summer. **A2**

◆ **Apple reported** blowout iPhone sales in the December quarter and record profit, ending a tumultuous year that saw setbacks to its efforts to release new AI features. **B1**

◆ **U.S. stocks again ended** in mixed territory, with the S&P 500 and Nasdaq falling 0.1% and 0.7%, respectively, and the Dow rising 0.1%. **B1**

◆ **A new era of corporate** cost-cutting is being ushered in as big U.S. companies look to shrink head counts after years of rapid growth. **A1**

◆ **First Brands founder** Patrick James and his brother Edward were indicted on federal on charges of defrauding lenders before the company fell into bankruptcy. **B1**

◆ **A \$140 million loss** at BlackRock is reviving questions about the accuracy of financial disclosures to individual investors in private credit. **B1**

◆ **Trump's regulators said** they were ready to lay out rules that would help foster the crypto industry's growth after legislation on the matter ran into an unexpected setback. **A2**

Worldwide

◆ **Trump and Senate Democrats** said there is a deal to avert a partial government shutdown and temporarily fund the Department of Homeland Security as talks continue on restrictions to immigration enforcement. **A1**

◆ **Mexico's president** and FBI Director Kash Patel offered differing accounts about the role of U.S. agents in the arrest of a former Olympian accused of drug trafficking. **A1**

◆ **Director of National Intelligence** Tulsi Gabbard has spent months investigating the results of the 2020 election that Trump lost, a role that took her to a related FBI search of an election center in Georgia. **A3**

◆ **British Prime Minister** Keir Starmer and Chinese leader Xi Jinping moved to improve ties as the U.K.'s relations with the U.S. have been tested by Trump's tariffs and calls to seize Greenland. **A6**

◆ **Trump threatened** to decertify Canadian aircraft and apply tariffs on imports after what he described as the country's refusal to certify U.S.-made Gulfstream jets. **A6**

◆ **The Trump administration** moved to reopen commercial airspace over Venezuela and ease some sanctions on the country's oil industry. **A8**

◆ **Trump sued** the IRS and the Treasury Department seeking at least \$10 billion, alleging they didn't do enough to prevent an IRS contractor from leaking his tax returns. **A4**

◆ **A number of** Middle Eastern governments are trying to push the U.S. and Iran into talks to forestall a possible conflict, with little success. **A7**

CONTENTS	Mansion..... M1-12
Arts in Review A10-11	Markets..... B9
Business & Finance B2-35	Opinion..... A13-15
Capital Account..... A2	Sports..... A12
Crossword..... A11	Technology..... B4
From Page One..... A9	U.S. News..... A2-5
Heard on Street..... B10	World News..... A6-8



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Trump to Pick Warsh to Lead the Fed

Announcement, expected Friday, will conclude search for successor to Powell

By Nick Timiraos, Brian Schwartz and Alex Leary

WASHINGTON—President Trump's advisers have been told that he is expected to nominate Kevin Warsh, a cen-

tral-bank insider turned critic, as Federal Reserve chair, according to people familiar with the matter.

Trump's selection of Warsh would bring to an end a months-long internal deliberation among the president and his top advisers over who should lead the central bank.

The White House and Warsh didn't respond to requests for comment.

The Fed chair nomination is arguably the most important personnel decision Trump

faces for the remainder of his term because the central bank serves as a first responder in financial crises and sets interest rates that affect every corner of the economy and markets.

Trump told reporters that he planned to unveil his Fed chair pick on Friday morning. "A lot of people think that this is somebody that could've been there a few years ago," said Trump, who considered Warsh for the job eight years ago but instead selected the

current chair, Jerome Powell. Powell's term as Fed chair ends in May.

Warsh, 55 years old, has long positioned himself to return to lead an institution he once served and has spent years publicly criticizing.

He is a former Fed governor who played behind-the-scenes roles during Washington's rescue of Wall Street in the 2008-09 financial crisis.

Trump quickly soured on his choice of Powell and previously expressed regret over

not picking Warsh.

"Kevin, I could have used you a little bit here. Why weren't you more forceful when you wanted that job?" Trump said at a 2020 ceremony, acknowledging Warsh in the audience. "I would have been very happy with you."

Trump has bashed the Fed throughout both of his terms for not cutting rates faster. The central bank held its benchmark short-term rate steady at its meeting this

Please turn to page A2

Homan Plans Drawdown of Forces in Minnesota



RESET: White House border czar Tom Homan, speaking in Minneapolis, said Thursday that the federal efforts to combat illegal immigration in the city haven't been perfect, and he was working on a plan to begin drawing down the enforcement presence. **A5**

Deal Is Reached to Avert Shutdown

WASHINGTON—President Trump and Senate Democrats said there is a deal to avert a partial government shutdown and temporarily fund the De-

By Natalie Andrews, Lindsay Wise and Siobhan Hughes

partment of Homeland Security, as negotiations continue on proposed restrictions to immigration enforcement.

Under the agreement, the Senate would move quickly to pass five of the six spending bills that already have cleared

the House—funding most of the federal government for the rest of the fiscal year ending Sept. 30—while passing a two-week extension for DHS.

"Hopefully, both Republicans and Democrats will give a very much needed Bipartisan 'YES,' " Trump, a Republican, said in a post on Truth Social, in which he endorsed the deal.

Senate Democrats and the White House began talks after a united Democratic Party balked at passing a bill to fund DHS, angered by the fatal shooting of Alex Pretti by im-

migration agents on Saturday in Minneapolis.

The GOP-controlled Senate was expected to vote to approve the deal soon, sending the modified spending package back to the House, which will need to come back to Washington to pass it. Government funding for a large part of the government expires on Friday night, meaning agencies could shut down for a short time while House lawmakers return to Washington.

The office of Sen. Chuck Schumer of New York, the chamber's Democratic leader,

said the separation of the five bipartisan bills plus the two-week extension of current funding levels for DHS had been agreed to. A spokesman for Senate Majority Leader John Thune (R., S.D.) said Republicans were still in the process of gauging support among their members. Negotiators had grown more optimistic in recent days.

Thune said earlier that he had been in touch with the White House about the administration's talks with Democrats. Trump had signaled he

Please turn to page A4

The Rise and Fall of Gregory Bovino

The Minneapolis operation was his most ambitious yet, but descended into chaos

By JOSHUA CHAFFIN AND MICHELLE HACKMAN

MINNEAPOLIS—For six months, Gregory Bovino was the tip of the Trump administration's deportation spear, a spiky-haired Border Patrol agent from the John Wayne school of law-and-order who commanded the rolling immigration raids in Los Angeles, Chicago and other Democratic-run cities that netted thousands of arrests. They also prompted public backlash and complaints from terrified immigrant communities.

On Monday, nearly a month into Bovino's Minneapolis campaign, he was pulled from the field less than 48 hours

after referring to border agents who killed a 37-year-old nurse as "victims."

"Operation Metro Surge" was supposed to be Bovino's most ambitious mission yet, a new kind of urban take-over by federal law enforcement. Instead, it descended into scenes of tear gas, pepper spray and civil unrest on the streets of a proudly progressive Midwestern city.

It culminated Saturday with the shooting death of Alex Pretti that shook much of the nation. It has also provoked a clash in the White House over the future of President Trump's signature policy.

With Bovino's removal, some are an-

ticipating an end to the maximalist enforcement strategy he championed alongside his boss, Kristi Noem, the Department of Homeland Security chief. Rather than targeted raids on known criminals, they favored a wide net and aggressive tactics to catch and deport as many immigrants in the country illegally as possible.

Minneapolisans cheered the departure of a man some top Democrats described as a "cartoon villain." One indelible image of Metro Surge was of Bovino

Please turn to page A9

◆ **Police chief navigates crisis**..... **A5**
◆ **CEOs' buzzword: 'De-escalation'**..... **A5**

Americans Are Feeling Nostalgic For the Simple Days of...2016?

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Yearning for year of Drake and Rihanna stems in part from the internet's dark turn

By HANNAH ERIN LANG

A severe bout of nostalgia is spreading in America, but it's not for the postwar prosperity of the 1950s or the big hair and bright colors of the '80s.

Young adults are yearning for the simple days of 2016.

For weeks, social-media feeds have been littered with decade-old images of matte

makeup, Snapchat filters and skinny jeans. The internet obsession is spilling into real life: The top musical artists of that year are enjoying a new surge in popularity and clubs are hosting parties full of people wearing choker necklaces and dancing to Drake and Rihanna.

"2016 was pure magic," reads one social-media post

Please turn to page A9

Layoffs Reverse Pandemic Job Boom

By KONRAD PUTZIER AND CHIP CUTTER

The new era of corporate cost-cutting is hitting U.S. workers with full force.

Big companies from Amazon.com to UPS are slashing jobs, looking to shrink their head counts after years of breakneck growth. Companies generously expanded their workforces during the pandemic years of 2020 and 2021 and doled out hefty raises, worried that moving too slowly might leave them with a shortage of skilled workers.

Now, some companies said their hiring sprees went too far. Their biggest concerns today are bloat and runaway expenses. "A lot of these companies found that they are too big," said Guy Berger, a senior fellow at the think tank Burning Glass Institute.

Amazon said Wednesday that it would lay off an additional 16,000 corporate employees after laying off 14,000 workers in the fall. The combined cuts amount to about 10% of Amazon's corporate workforce. On Tuesday, UPS said it expected to slash 30,000 jobs this year, on top of 48,000 job

Please turn to page A4